

Barclays Q1 2026 Results**28 April 2026****Q&A transcript (amended in places to improve accuracy and readability)****Alvaro Serrano, Morgan Stanley**

Good morning. Alvaro Serrano from Morgan Stanley. Thanks for taking my questions.

Venkat, maybe this one's for you. You made the comment that you've reduced the risk appetite or pulled back (I can't remember the exact words you used) on slightly higher leveraged and some structured products. Can you give us a bit more colour of the concrete measures you've taken and maybe speak to slide 45 (and thanks very much for that disclosure). In which areas have you pulled back a bit, and how should we think about any impact on revenues from that sort of reduced risk appetite?

And the second question is on the UK or [more] broadly NII outlook. Obviously, rates are high now and you've locked in the outer year extra hedge income as you've disclosed and spoken to. When you think about the high yield [environment] versus slowdown in loan growth and volume growth, do you think there's upside to NII if you were to mark-to-market to current curves? Maybe you're more thinking of flexing your NII guidance. Thank you.

C.S. Venkatakrishnan, Group Chief Executive

Yes. Hey, Alvaro. Good morning. So, let me start with your first question and I'll hand it over to Anna for the second question.

So, we said in the statement that the impact is not material, either today or a foregone income in the future. On slide 45, in that third box is where you'll see the £17 billion lending to business models that are basically themselves asset-backed lenders. That is [one area] where we have [in the past] seen more vulnerable business models where we may not find the strength of financial controls we'd like to see them demonstrate. That's really the place where in the structured financing exposure, we would expect to see some limitations. But as I said in the prepared remarks, it's not material now as a source of income, nor foregone income in the future. Anna?

Anna Cross, Group Finance Director

Thanks, Alvaro, for the question. Given the experience that we've had in Q1, we are more confident now on NII than we were at the full year, because the actual experience that we've had

in Q1 is either positive or neutral. And I'm very comfortable with consensus for '26, both for the Group and for Barclays UK. As I look a little further out into '27 and '28, that consensus looks light. We said the same at full year, it looks very light in '28.

So what we've observed in Q1 is actually a good deposit performance. So current accounts in BUK have been broadly flat. Ordinarily, we would see a seasonal decline in Q1. We've had a good ISA season where we grew faster than the market.

You can see good lending growth across the piece, 5%, pretty much on the [UK lending] target that we've given you. Our USCB NIM is a little higher than we guided to at 12.8%. And of course, as I said, we've topped up the hedge by £6 billion, and we've rolled it in the quarter at around 3.9%.

Now, this change in rates is really about the future years. We are still basing the guidance that we're giving you on 3.5%. To the extent that we see rates remaining higher, obviously that will build through time, and you'll see the impact a little further out. And I'd just remind you that our hedge income for 2026 is 95% locked in already. So, our confidence is really coming from the real factors that we see in both deposits and in lending.

To your point about slowdown in lending, we have not seen a slowdown in lending. We see it growing strongly both in BUK across the products, also in [UK] Corporate. And for the first time, we're seeing some really good signs of growth within Business Banking. That's driven by our own actions. We're not reliant on the market.

So, at this point, I wouldn't say that we would adjust our NII guidance for any change in lending. It's more the experience that we've had in Q1 just gives us greater confidence to deliver [against] the consensus numbers. Thank you for the questions. Perhaps we can go to the next question please.

Perlie Mong, Bank of America

Hello, good morning. A couple of more questions on NII, please. So, the product margin side of things, can I just dig a little bit deeper [on] that? So, I think previously you said that the mortgage compression from the COVID-era mortgages rolling off would be about £100 million. How far are we in that? Because presumably, as you said, some of the volumes that might be rolling off in Q2 probably got pulled forward in Q1. And then with swap rates volatility, can you comment on what you're seeing in terms of front-end margins as well?

And then on the deposit side, I suppose the competition has been maybe a little bit higher, partly reflecting seasonality as well. So, when you said that you expect product margin to be similar next

quarter, is that more mortgages or is it more deposits? If you could just help us understand that a little bit better.

And then on the USCB as well, you commented that margins were quite high this quarter, there's a big improvement. Obviously, there will be some mechanical improvements further from the American Airlines exit. But how much more sort of underlying improvement can we expect from pricing and from deposit mix, et cetera?

Anna Cross

Okay, thank you, Perlie. I will take both of those.

So, our product margin impacts in Q1 are as we guided and they're in line with our expectations. And I'm going to merge your two NII questions, if I may Perlie, because actually that product dilution is coming from both mortgages and from deposits. In mortgages, we are seeing the impacts that we called out at the full year, and that's the maturation of the COVID-era loans coming through as expected.

Somewhat offsetting that, we are seeing better performance from more recent vintages, where we are seeing better retention. So that's a slight positive impact in mortgages. And we are seeing the impact of deposit margin compression coming through in there. I expect it to be broadly similar in Q2, Perlie, with all of those factors continuing. And that's simply because of the timing of the maturity of mortgages. But also, very importantly, remember deposit competition in the UK tends to be concentrated in Q1 and Q2 because of the ISA season. Thereafter, we would expect that product margin compression to ease off a little.

What's different from when I spoke to you at the full year is we now do expect NII growth in Q2. We expected it to be broadly flat previously. Now we expect growth into Q2, and then to continue growing quarterly thereafter, and to grow year-on-year in every single quarter of the year.

When I think about what's happening in the mortgage market, we have seen a pull forward of applications, but they have not yet completed. So, March was a very, very large month for applications, and I think that just speaks to the volatility in the rate environment and customers seeking to lock in.

To give you an idea, for our June maturities, we've seen roughly double the number of customers lock in by this stage than we would ordinarily. But that hasn't completed yet, it's going to complete through Q2 and Q3. Margins remain fairly robust. Clearly rates are moving around, but so are swaps, and they tend to move in alignment with one another. So that's what's happening in terms of BUK NII.

In terms of USCB, the net interest income there is a little higher than we anticipated, but not significantly so, and I wouldn't call out anything in particular. The repricing impacts have worked their way through now, but we will continue to see ongoing beneficial, both NIM impacts and net risk-adjusted margin impacts from continuing to rebalance the book from just travel and entertainment towards a bit more retail. So you're obviously going to see a step change over the next quarter, but that will be an ongoing impact.

And I just call out here also our progress in deposits. Really pleased with that, our retail deposits are now 76% of our overall funding. That's higher than the target that we gave you of 75% by the end of '26, and that has been disproportionately driven by some of the partnerships. So, you're going to continue to see margin accretion, but obviously it will be more pronounced over the next quarter or so. But thank you for the questions. Can we go to the next question please?

Amit Goel, Mediobanca

Hi, thank you. So, two questions from me. One was just back on BUK, but just on the cost piece. So, I appreciate there was a slightly different phasing of investment this quarter versus last year. Do you mind just giving a bit more colour on how different was the investment versus last year, just so we can see the cleaner piece there?

And then secondly, just on the USCB [end] net receivables, I saw after several quarters of increase there was a slight reduction. I don't know if that was related to the AA portfolio, but basically, I'm just curious if US players are being a bit more aggressive, anticipating reductions in capital demand. And so, whether that's a reason why [end] net receivables came down or if actually there is a little bit of a reduction in that market. Thank you.

Anna Cross

Okay, I will take both of those. So, in BUK, I can see as I look at operating costs, there's a slight miss to consensus. I think that's only timing. And particularly when I look at where that is, it's in BUK. So BUK's got a slightly different profile of investment and actually efficiency delivery this year from previous years. And I'm not going to give you numbers, but let me help you think about it.

Probably the structural cost actions will be a little more forward phased than last year. And that's simply because some of the things that we are doing around Tesco, as well as the underlying business, whereas the opposite is true of efficiencies, you're going to see them build through the year. So, I still believe that BUK costs are going to be down in absolute terms year-on-year.

And clearly, given that they've been up in the first quarter, you should be expecting them to fall in absolute terms towards the second half and for the cost income ratio to be in the low 50s. So that's exactly as we expected and it's just some of the movements around timing and other investments.

On USCB, the change in card levels. I mean typically we see a seasonal change in Q1, I don't believe it's any more than that. And as I look at our performance in terms of purchases and the other factors that we would expect to see as lead indicators, they are no different from the broader peer set. But thank you for the questions. Can we go to the next question please?

Jonathan Pierce, Jefferies

Hello, good morning. So, I was going to ask you about share awards, but I nearly fell off my chair when you made the comment on 2028 net interest income. So, I'll actually go with that if it's okay.

Just to clarify, 2028, you're talking about consensus being very light at the Group level. Just checking I caught that properly. And is that comment made in the context of where the yield curve is today? Or are you saying that consensus was very light, even ahead of the move in the yield curve? And I don't know whether you can give us a bit of colour as to where you think we're wrong at a divisional level.

Tying into that, just a quick question on the hedge. Are you taking advantage of the fact that the yield curve is markedly higher today? I mean a one-year forward starting seven-year is offering you 4.4% today. I'm just wondering if you're pre-hedging maybe a bit more of your future maturities than you might have done in the past? Thanks.

Anna Cross

Okay, Jonathan, I will take both of those.

So, I made the same comments at the full year. It doesn't relate to the movement in the yield curve and the guidance that we are giving you is still based on a 3.5% reinvestment rate. We have not changed that number. And it's the Group number [excluding IB and Head Office] that I'm referring to as I look at that. So, this is no change from what we've said before.

If I can point you to where I think the difference is, I think it arises in two areas. The first is UK Corporate Bank. And you know, we see considerable momentum in UK Corporate Bank. We've seen it for consistent quarters now. It has grown its lending in the first quarter by 15%. And it continues to make great progress, even before we land the capabilities that we are due to land through this year in iPortal. So that's the first thing I would call out, I think we don't discuss it a great deal on these calls.

The second thing would be US Consumer Bank, where you've really got three things starting to come together here. You've got cards balances, which are up [9%] year-on-year in the first quarter. We will, in the next few days, complete the purchase of a top five unsecured direct-to-consumer loans business in the US. And that gives us the opportunity to take that capability directly to our customers and to our corporate clients.

And then the third piece is our deposits, which, as I said, are now at 76%. And a meaningful part of that growth has come from our partnership with AARP. So, we are really learning in this business about how we can take the full suite of products to our partner base. And that's what gives us the confidence in that business' ability to grow.

Venkat, anything you would add on the USCB in particular?

C.S. Venkatakrishnan

Yes. So, I mean, you asked about NII, Jonathan, and Anna's given you the various dimensions of it. But in the USCB, in addition, what you see is continued improvement in digitisation, continued improvement in cost, leading to the higher RoTE that we've shown this quarter, 18% plus.

And what I would say is it broadened the statement that Anna has made across every part of the business. You're seeing performance in the way we said we would demonstrate it 2.5 years ago and reiterated three months ago. In terms of top line, in terms of operating efficiency, in terms of jaws, in terms of deposit growth, in terms of lending growth in the [UK] Corporate Bank, in terms of the returns improvement in the US Consumer Bank, returns improvement in the Investment Bank, et cetera. And I think that's the picture we would like to emphasise.

Anna Cross

Okay, Jonathan, let me come back to your second question, which was on hedge yield. So, the simple answer is no. We roll the hedge systematically, we roll it mechanistically, and it is not our opportunity to speculate or determine what rates might be. We roll it irrespective of that environment.

The thing that we are very focused on, however, is deposit behaviour. So, the increase in notional reflects observed deposit behaviour over a number of quarters. It doesn't relate to just the quarter past or expectations forward. We actually observe what's going on in the hedge and then we will choose to extend it or indeed contract it. So that's all that's going on there, we're not responding to a change in the yield curve.

Thank you. Can I go to the next question please?

Guy Stebbings, BNP Paribas

Hi, good morning. To start, should I come back to the hedge just to follow up on Jonathan's questions?

It was a meaningful uptick, I guess, in Q1 of £6 billion or so in the notional. Just trying to understand where that's landing, because it doesn't look like there's a big move in deposits in the UK. So, is that sort of landing outside of the UK, the IB perhaps? And just to get a reflection of the stickiness, I suppose, of those deposits and how you see them going forward rather than, as you say, taking advantage of the curve in any way.

And also, just to clarify, in terms of pre-hedging, you say you don't do any pre-hedging of the hedge when you talk about what's locked in from here? That was really the first question.

And then the second one was just around ECLs. Reasonably flat in aggregate on the performing loan book. I just want to understand the move in the management adjustment, which came down from £369 [million] to £265 [million] in the quarter. So quite a big move, I think that largely just relates to the General Motors book, which now filters directly into the models rather than needing an overlay. So, I'm not sure if that explains the entire move, but any colour there would be helpful. Thank you.

Anna Cross

Yes, thank you, Guy. I will take both of those.

So, the movement in the hedge notional upwards is going to reflect, as I say, a long-term view of deposits. So, it's quite difficult for you to tie quarter-on-quarter movements in deposits to changes in the hedge, because what we're trying to identify here is rate-insensitive balances, and obviously we want to observe that for several, several quarters before we make a change.

And so, you're going to see it outside of the UK as well as inside, and obviously over time as the equity in the firm continues to rise, you're going to see us hedging more of the equity position as well. So, I wouldn't call anything in particular out.

And if we do any pre-hedging, it's very limited and under very strict risk limits. And those have not changed over time and certainly would not explain anything near the portion that I've called out today. So that £6 billion is the observation of deposits.

In terms of your second question about post-model adjustments, I appreciate this is quite difficult to tell because we only give you the full disclosure at half year, but just for the rest of you,

what Guy's referring to is slide 40, and he's basically calling out the fact that the management adjustments have dropped from Q4 into Q1.

And just to remind you, Guy, we do these post-management adjustments (PMA) for two reasons. The first is where we're doing some work on the models, and to anticipate what that model work will show, we very often take a PMA. And then the other reason that we take a PMA is when we are faced with a degree of economic uncertainty and we feel like consensus may not be effective. The point that you're talking about here is the former.

So, actually what happened is prior to this quarter, the General Motors impairment was not modelled. We were essentially using our expectation and our existing portfolios to anticipate what that was going to be, and we put it in as a post-model adjustment.

Now what's happened is, we've updated the model, and so General Motors [impairment] is a modelled number. So, you're not going to see any change in the total number. It just jumps from being in the PMA to being in the modelled number. The real changes in PMAs that we've done, and the ones we've spoken to you about, really speak to economic uncertainty and relate to US Cards, UK Cards, and the IB.

Thank you, perhaps we can go to the next question please.

Andrew Coombs, Citigroup

Hi there, if I could just pivot the conversation to capital. Just intrigued on two things.

One, there's been a lot of press coverage about your comments around the leverage ratio proposal to potentially exclude unencumbered gilts. Perhaps you could just touch more broadly on where you see the leverage ratio as a binding constraint now. For which product, which divisions, do you believe the leverage ratio is a binding constraint for?

And then secondly, I want to talk about Basel endgame. Overall, a 5% release is expected for the Category 1 and 2 banks on the change in the GSIB methodology. But arguably more important from a competitive standpoint is the output floor has been dropped. And when I look at the risk weight, I think under ERBA, it's 75% on retail loans, 45% for credit card transactors. So, can you just talk about what you think Basel endgame means for the competitive dynamics with the US Consumer division and for the Investment Bank? Thank you.

Anna Cross

Okay, Andy, why don't I start on leverage and then I will hand to Venkat on the second part.

So yes, like the broader consultation might suggest, there is an ongoing discussion in the UK about the leverage ratio and really leverage being a backstop, and we would support that. You're noting that we have published a piece of work that talks about the opportunity in the UK, really for the treatment of unencumbered gilts, and we do think that that's important.

As we make that statement, it's more about the opportunity for UK PLC and the reduction in costs that that would have for the government, and we called out around £2.5 billion per annum on an ongoing basis.

We are not leverage constrained. Clearly, we have considerable leverage usage within our Financing business, within the Investment Bank. That's why we are a significant issuer of AT1s in the market. And as we do so, we're clearly mindful of the relative cost between those AT1s and the kind of margin that we get in the Financing business. So, the two things are somewhat unconnected. One is more of an observation on UK PLC.

Venkat?

C.S. Venkatakrishnan

Yes. So, Andrew, on the capital side, we clearly are watching very closely what's happening in the US, not just in terms of capital ratios proposed under the Basel endgame, but the way supervision is itself changing and stress testing is changing. You've got to look at all three together, and we would advocate very strongly for the UK numbers to be relatively consistent. And for the UK approaches also to adopt a greater transparency in the way in which add-ons are determined both for banks and for investors.

The particular things on the Investment Bank and credit cards, let me begin with credit cards. So, in the credit card space, you're right that if there are no changes, then the UK numbers will, at a parent level for us, holding company level, add on more capital per unit risk than a US bank would face.

Now, what we're doing to adjust our business is obviously running it more efficiently and also diversifying it. And the purchase of Best Egg and the direct-to-consumer loan business should be seen as a part of diversifying our cards business into other places which are less penalised in terms of capital.

And then on the Investment Bank, the point I would make is, we have already for some time been facing US banks which have been putting more capital and more balance sheet. And you know, at least the way we have done the analysis, and you should probably replicate it, is if you look at returns per risk-weighted assets, a form of capital efficiency, I think we've done pretty well. And

as you know, over the number of years, we've made structural improvements in the way the Investment Bank is performing. We've had eight successive quarters of strength in year-on-year income growth on positive cost jaws, on income over RWAs, as I said. And we beat consensus [income] for eight consecutive quarters in the IB.

This is all deeply structural, and what we are trying to do with these structural changes, with the increase in Financing as a portion of our total revenue, et cetera, is finding our own ways to be competitive and to be efficient.

Now, on top of that, do I want to row against the current of capital disparity between the UK and the US? I wouldn't. But we've made our views known, but we will continue to operate the bank in the way we have and show the progress we've done quarter-over-quarter.

Anna Cross

Thank you Venkat, could we go to the next question please?

Jason Napier, UBS

Good morning. Thank you for taking my questions. And I think I can echo, Venkat, what you were saying about the sort of underlying performance of the business.

If you take out the one-offs, it looks like PBT's up 15% year on year. But of course, a lot of the conversations are about one-offs and those sorts of matters. So, if I could ask two [questions].

One, quite a lot of coverage in the media around potential SRT governance inquiries. If you could talk potentially about that, or confirm that there's no change to the capital outlook for the Group as a consequence of what may or may not emerge from that.

And then secondly, just to follow up please, on Venkat, your last answer, around relative capital intensity of the businesses in the US in particular. Could you just give us a sense as to which businesses you think are most impacted by the relative changes that are being envisaged? And in those, just some guess as to the cadence of sort of customer churn. How quickly would we know if there was a delta in competitive intensity that actually mattered on the ground? Thanks very much.

Anna Cross

Thank you, Jason. I'll start on SRTs and then hand to Venkat.

So, on SRT, I'm not going to comment on regulatory reviews, but only to say that the regulator in the UK regularly conducts reviews both individually and thematically across the industry. We have

been very transparent around our Colonnade programme, and you can see that in the appendix. We've given you the same slides for several quarters now. That is primarily our focus on credit management, as Venkat talked about before. And indeed, it's been in place since 2016, for those of you following along, it's slide 47.

So, it's a well-managed, well-embedded, well-regarded investor program that's been around for a long time. Of course, we have to notify the PRA every single time that we do an SRT transaction, so that's something that we've done. And from our perspective, the most important things that we are focused on, and I would expect the regulator to be focused on, are the risks associated with running that kind of process.

And we believe they are, number one, the financing of SRTs. So, we do not finance our own SRTs. Secondly, the counterparty credit risks. So, remember, ours is cash collateralised, so that counterparty credit risk is minimised. And then thirdly, the risk of the market being shut at any point in time. Now, clearly, you mitigate that by having a very long-running, long-standing, high-quality program like ours, but we also restrict the maturities in any particular quarter, so they are less than £2 billion. So that means that we would be able to mitigate that easily, even if the market were closed to us.

So, from our perspective, Jason, we're very comfortable with the program that we have. We believe it's very successful and provides the credit mitigation that we seek to do, and we don't envisage any changes in it.

Venkat?

C.S. Venkatakrishnan

Yes, just to finish off on one point.

You know, all the attributes that Anna spoke about in the SRT program, they come from having an evergreen program, and an evergreen program where people know that they can expect a cadence of issue from us, the quality of issuance from us, and it helps us and it helps them.

On your capital question, let me begin by saying, first of all, there's no new news to us here, right? We've been following this for a number of years. It has been clear that there is going to be disparity between the US and the UK. It comes, as I say, not just from capital levels, but from forms of stress testing, the total capital stack, including regulatory add-ons. So, there's not going to be a sudden shift.

What you're seeing is, because of the way we anticipated [and] the way in which we've constructed our business over time. I just spoke about credit cards in the previous answer, where

we've had a high-quality credit card portfolio in terms of FICO scores, and now we're diversifying it with the purchase of Best Egg into direct-to-consumer loans.

Second, on the Investment Banking side, you've seen again from us an emphasis on Financing, which is, as I've always said, a very good business, properly risk-managed, and has capital benefits because it's secured lending. So that's becoming a bigger part of our portfolio.

We continue to emphasise intermediation. You will see that we manage our risks very well. If you look at our VaR, and the number of loss days, which was only one this quarter, the VaR is managed at a low level. VaR, obviously, is a way in which you control risk, and that can have an impact on capital.

So, the way the business has been structured, it is with a view to these disparities, which are not new, right? And we will continue to work with the capital regime we have and operate subject to it in the most efficient way we can.

Anna Cross

Thank you, Venkat. The only other thing I would add, Jason, is just our ongoing focus on the International Corporate Bank. Clearly that's another source of relatively capital light revenue for us in an area where we think we have real opportunities to grow.

We talked about that a lot at the year end, and you can see it again in our dollar deposit growth in the quarter. But thank you for the questions, can we go to the next question please?

Chris Cant, Autonomous

Good morning, thanks for taking the questions. If I could come back to this topic around competition from US players. You've spoken to Financing and that's been an area of growth for you for a number of years now. It's obviously not just RWA-based capital relief that US peers are getting though. They are also seeing the leverage biting point dropping away in the background. And are you expecting to see more competition in that Financing space as well? That would be question one please.

And the second small one on corporate lending in the IB, that looked quite soft this quarter relative, even with the fair value marks adjusted for you. It looked like a soft quarter. What should we be expecting there going forward, noting that you're looking to the ICB as an area of growth? And I know transaction banking is doing well, but if you could comment on that [Q1] print for corporate lending, that would be appreciated. Thank you.

Anna Cross

Okay, Chris, why don't I start? So, I'll talk about leverage and then I might hand to Venkat and then I'll pick up on corporate lending.

So, look, clearly Financing has been an area of growth for both us and for the US banks. And we've seen that over a number of quarters now. We're pleased with our performance, which is up 31% year on year in dollar terms.

And we don't perceive that the US peers have been leverage constrained up to this point. And indeed, it's not just this quarter. If you look back over successive quarters, as Venkat has said, you see increasing levels of balance sheet generally being deployed into the business. But Venkat, you might want to comment on the competitiveness of this product generally.

C.S. Venkatakrishnan

Yes. Look, first of all, as Anna said, we've been seeing this for a number of quarters. We've adjusted our business for a number of quarters. Second, especially when you come to things like Financing and Prime, there is a competitiveness element to it, but there's also a client service and stickiness element to it.

Our rankings have been growing consistently because of the services we provide to our clients in Equity Financing and in Fixed Income. We're a top [three] Fixed Income financier, and we have been for a long, long time. So, it's these capabilities that we bring to bear that make us very competitive and make us attractive to clients.

So, I would view it on a much more holistic basis. I mean, and as Anna has said, and I said earlier, over a number of quarters, you've seen the US banks put in both capital and balance sheet much more than we have. We've been very disciplined on both, minor fluctuations quarter to quarter, but keeping it stable. And yet we've continued to show the results in our Investment Bank that I spoke about in terms of continuous quarters of improvement. And it's coming from building in the foundations to generate repeatable, improved performance. Anna?

Anna Cross

Yes, thank you Venkat. Chris, the corporate lending line, I appreciate it's very difficult to forecast because what you've got there is an underlying level of corporate lending. That's not really changing.

We're clearly cycling through this process of reviewing the book. We're sort of a little more than two thirds of the way through that now. So that number is fairly consistent at around £50 million a quarter, so, nothing really happening there.

You've obviously got this swing in Leverage Finance marks year on year. It was up more than £100 [million] last year. It's down £40 [million] this year. So, you've got nearly 150 basis points of RoTE impact on the Investment Bank just in that line alone from those Leverage Finance marks.

And then the other two things that flow through there are cost of hedging and cost of SRT. Nothing really notable to call out there. You should imagine in the current environment we do a little bit more hedging, but there's nothing particular I would call out for you, Chris.

Thank you, can we go to the next question please?

Nicolas Payen, Kepler Cheuvreux

Yes, good morning. Thanks for taking my question. Just one, actually.

I just wanted to go back to discuss your cost of risk guidance, which is now at the top of the 50 to 60 basis point range. Just wanted to know, what are your assumptions regarding especially the Middle East situation?

Does your guidance capture any improvements in the geopolitical situation or status quo, or maybe at the other end of the spectrum, maybe a potential increase in inflation because of the situation? Anything you can give us regarding this new guidance, thank you.

Anna Cross

Okay, thank you, Nicolas. And I mean, we have called out that we expect to be around the top end of our 50 to 60 basis point points range. That's purely because of the single name [charge] that we took in the first quarter, and we do not see any other signs of credit deterioration in the UK, in the US, in corporate or in consumer. And so, from our perspective at the moment, if you do the math, then you'll see that we are broadly in the midpoint of the range for the remaining quarters of this year. I can see that consensus is already at the position that we've guided to today, so I think that's probably what the market was anticipating.

At this point, we don't see any significant impact from the situation in the Middle East, other than the revenue impacts which have been broadly positive to date, so the rate impacts and, obviously, our ability to capture the cyclical opportunity in the IB.

In terms of credit, we don't perceive any deterioration at this point. However, we have taken three, I would say, relatively modest adjustments in our IFRS 9 modelling, as we look at future potential risks. So, the first of those relates to UK and US cards, where we have been slightly more conservative with the unemployment rates that we have used predominantly, and we're just

recognising those that clearly consensus is moving on over time, and those two particular books are highly, highly sensitive to unemployment and the rate of change in unemployment.

The second thing that we've done is, to Venkat's prepared remarks, we're a little bit more mindful of some of the Investment Bank exposures. And on that basis, we have put a little bit of downside bias into the Investment Bank calculation, essentially weighting it more heavily to the downside one scenario. That was very consistent with what we've done in previous periods, where we faced uncertainty.

So, we're not trying to make a prediction here. We're really just recognising some of the uncertainty around us. Now, clearly, if the situation were to persist, and we started to see real economic effects coming through in terms of higher inflation, then that may have some impact on credit, but there's a few things I would say, hopefully, to reassure.

The first would be, we've clearly had recent experience of this in 2022, where we saw a sharp inflationary environment, and we saw a sharp increase in rates, and we saw very, very resilient consumer and client behaviour. Corporate balance sheets remain strong. Consumers remain in a very robust position. And whilst we've added lending since then, there's been no meaningful change in our risk stance since that point in time. So that gives us confidence.

The second thing is that we see, I would say, rational changes in behaviour from both clients and consumers. So, being mindful of the uncertainty and perhaps paying back their credit cards a little faster than they otherwise might. We think that that's really positive for credit. And it's something that we observe.

But overall, nothing additional that we've taken so far other, than those three PMAs. IFRS 9 is highly pro-cyclical. So, if we were to see a real deterioration, then really that might lead us to make some changes. But of course, we'll call that out if it occurs. But thank you for the question. Could we go to the next question please?

Chris Hallam, Goldman Sachs

Yes. Good morning, everybody. So, my first question is just on lending dynamics and Anna, I think you've just covered some of this, but I want to drill down on one point.

So, in the UK Corporate Bank, how much of the moves you've seen on loans and on deposits as well, actually, in the first quarter is potentially attributable to macro uncertainty? So, the premise being that if you were to start to see scarcity and sort of inflation-driven restocking cycles, companies loading up on inventory at higher prices, that will drive demand for working capital lending, while also compressing corporate cash balances. Simplistically, that just maps onto the

quarter on quarter evolution in loans and deposits you saw in the UK Corporate Bank. But that could just be a coincidence.

And then second question on the disclosure on slide 45. Has the uncertainty over the last few months in the Private Credit space changed at all how you think about the growth outlook in those areas? I think there's a sort of consensus building that the credit risk for the banks themselves is pretty low. You called out the absence of losses. But simplistically, Private Credit as an industry has been growing pretty quickly. So, if you and your internal planning had forecast that stacked bar chart, let's say for 2028, 6 to 12 months ago, would the composition of that bar chart look very different today, i.e., has the size of the opportunity set in Financing changed in your view? Thank you.

Anna Cross

Okay, Chris, I'll pick up the first of those and then I'll hand to Venkat. Look, you've seen in Q1, 15% lending growth [and] 3% deposit growth [year-on-year]. I don't think that's due to anything like the sort of behaviour changes that you talk about, Chris. I think that's probably a coincidence.

And in fact, it's very consistent with what we've seen in recent quarters. About 50% of the lending growth that we are seeing is coming from new clients. And as they come on board, they are also placing their deposits with us, which is why we're seeing that balance.

And remember, we are very deposit heavy within our [UK] Corporate Bank. Our loan to deposit ratio, I think, is around [35]%, so we would expect to be growing lending faster than deposits. That is our absolute strategic intent. Venkat, over to you on the second question.

C.S. Venkatakrishnan

Yes. So just on the first point, which is that the growth you see in lending in our [UK] Corporate Bank is very largely our own actions. This is what we said we would do in our strategy. We said that we have had a bigger deposit base, and we wanted to encourage lending for our clients and grow our client book. It's exactly what we've been doing.

Coming to your question on structured financing exposures, I think, look, there's a supply of credit. There's a demand of credit for credit issue. I think what you're seeing in the liquidity dynamics in the Private Credit market may mean a shrinkage supply of credit coming from the funds themselves. It will take us some time to see.

The reason this thing has happened is that obviously the Private Credit funds have been giving loans in a niche, which has been fairly well publicised, the banks were regulated out of. Now things could change in the US, and so banks may come back in there.

But generally speaking, when you look at the way we are exposed to it, which is in the way shown on the slide, which is working with the fund managers, I would imagine you're absolutely right that I think the growth of this thing is probably going to be levelling off or declining in the next year or so. We have to give it some more time, but that would be a reasonable assumption.

Anna Cross

Thank you Chris for the questions, can we go to the next question please?

Robert Noble, Deutsche Bank

Morning, thanks for taking my questions.

You sound very, very bullish on the outlook, with only kind of a small PMA taken and the implied rate benefit to the top line and calling out consensus, even on lower rates being too low. Is it not a bit perverse that an energy price shock that causes higher interest rates and lower economic growth outlook is actually a positive for bank earnings?

So, I guess is there any negative risk in there from growth? Which parts of the book from a growth perspective would you be most worried about in this type of environment?

C.S. Venkatakrishnan

Yes. So, look, you raise a very good question, Rob, and I think there are two issues here. There's one of timing, and then there's one of certainty or knowledge.

Clearly inflation risk has increased with what's going on in the Middle East, and you can see it in the UK inflation numbers, speaking just in the UK, and over time, there are worries in the US as well.

For a variety of reasons, it's not hit employment, and growth in the UK at least until February was strong and growth in the US remains strong, and there are important sectoral reasons for why that is the case related a lot, of course, to tech. And we said to you, Anna said that we are not seeing any impact on our retail or corporate credit portfolios in the UK or the US, especially the smaller companies. So, all of that put together, explains why credit conditions are generally good. I mean, we said that we expect impairment to be at the higher end of our cyclical range of 50 to 60 basis points. And we've discussed NII, and we've discussed the interest rate income of the bank.

The longer this thing goes on in the Middle East, and the more inflation feeds into the economy, then there is a risk of growth, or lower growth, and then there's a risk potentially of the implications of lower growth, including on credit. But we are not seeing it yet. And I don't think it's fed through to consensus, which is what we follow. That's the reason.

What you're seeing from us is prudent risk management in the forms of the way we've talked about credit lending, or our approach to credit, and the way Anna described a slight emphasis to weaker scenarios in calculating IFRS 9 related impairment. So, what you're seeing from us is a little more prudent positioning, a little more prudent weighting of impairment scenarios. But it's not yet played through mainstream consensus numbers, or of course, into what we experience in the portfolio.

Anna?

Anna Cross

Yes. Thank you, Venkat. I think the other thing I would call out, Rob, is that our confidence is drawn and relates to the plans that we continue to execute. And this is another quarter of execution. And of course, we're mindful of the environment, and Venkat's called out a few examples.

But our focus is on executing the plan, as it has been over the last few quarters. And that's really what's delivering the momentum that you can see today. Also, the diversification that we have in the book, both geographically and between different types of business, allow us to be resilient in quite a range of environments. But we're clearly mindful of the outlook.

Thank you Rob. Perhaps we can go to the next question, which I believe is the last question?

Edward Firth, KBW

Thanks very much. Yes, I had two sort of related questions, and I guess you partly covered it in the answer to Rob's.

I guess what we're all struggling with is the contrast between people like the Deputy Governor of the Bank of England saying the markets are ignoring risks, there's an awful lot of volatility going on, people are not focusing on it. And the message from you, which is there aren't really any problems.

And so, I'm just trying to get a sense, I suppose the way I'd ask the question is, what has to happen for there to be a problem? You know, you must sensitise your book. Is it that the Middle East [crisis] continues for much longer than expected? Is it the oil price of \$150 is the big question mark? Because obviously \$100 is not a problem. So, what is an environment which would have you guys thinking, this is a problem for our book, and we're going to have to start taking some material numbers? I guess that's the first question.

And then just related to that, I was struck both by the size and the high proportion of write-offs you took on the one-off impairment or the one-off exposure. And I'm just wondering, could you

give us a sense, I mean, is this like a normal exposure to you? Would this be like a top 10% [exposure]? I mean, how many of these sort of size single name exposures do you have on your book? Would this be a very material one?

And then I guess secondly, related, I guess you've been through all of them now. Can you give us some flavour as to why this was a one-off? Because it was an extraordinarily big number in itself and a big percentage write-off, if that makes sense. Thanks very much.

Anna Cross

Okay, why don't I start, Venkat, and then I will hand to you. So, Ed, I'll just reiterate, we are very mindful of the environment around us, and that's why we are managing risk and capital very, very carefully. But we go into this kind of environment with a resilience that would not have been there a few years ago.

So, we are operating with greater proportion of our capital focused on more stable returns. We have higher operating leverage, which gives us greater resilience. And of course, we have much higher levels of absolute capital. So, if there is a deterioration, then we would face that in a completely different position as a bank. So that's number one.

Number two would be, as Venkat has said, we continue to manage our risks carefully. He's talked about some changes that we are making around how we approach lending. I would also call out the way that we've managed the volatility in markets in the first quarter. So, you can see both the VaR and the single day trading loss that tells you how we are approaching risk in this kind of market.

But you know, you're right to the extent that the situation intensifies either in terms of inflation or indeed time, we might see that start to flow through into the real economy. But that's how we are positioning ourselves to manage those things robustly. Venkat?

C.S. Venkatakrishnan

Yes. So let me just continue on that question for a second and then I'll come back to your second question.

So, what Anna said, we are managing our risks, we take a view to the future, but also look at the structural composition of the business, right? What you've seen in this quarter is an anticipation of greater volatility and greater economic weakness. That has led to volatility in the financial markets themselves, which [our] trading businesses have been able to do well and because of the help that they're providing to clients and the intermediation that they did.

So, the question I always ask is, if on the first day of the quarter, you knew how the quarter would fold out, what results would you expect? And at the last day of the quarter, did you get the results that you thought you would expect, right? And if you look at our businesses, because of the structural changes which we are doing, A, what you see in each business is what we would have thought. B, the way the businesses interact, also gives us protection.

So, coming back to the question that, I think it was Rob who asked it, on the one hand, you're getting an advantage from interest rates. On another hand, you're getting an advantage from trading and trading related activity. On yet another hand, you're getting the advantage in the Investment Bank from people seeking capital markets transactions and IPOs, right?

And then credit conditions still remain strong. If that changes, which it could over time, the longer these things go on, then yes, you would have some issues or impairment, but you may still continue to get benefits from other sides of the portfolio, right?

And then we've not spent some time on this call, but we do have fee businesses, transaction businesses, all of which will be important and relevant as people look to hedge financial exposures. So, it's a diversified bank, diversified sources of revenue, and it's important to focus on one or the other, but you've got to look at it holistically. And this quarter's results show you the importance of that.

Then coming to the second question, first, I would take you to page 45, where we've gone through the history of our exposures to these things, and what we've said is, as a credit matter, we've had no losses or negligible losses across all of this. That's the first important thing.

When fraud happens, right, and depending on the extent and sophistication of the fraud, the numbers are appreciable. I'll say two things. I don't like to lose a single dollar or a single pound to fraud. On the other hand, this business has been structured, [and] has been performing well over the last number of years. It has been structured in such a way, and we've made fundamental improvements to it that we are able to absorb it.

It doesn't mean I like it, it doesn't mean we won't take steps, in which we are taking steps to reduce that likelihood, minimise it, and so on, but we can absorb it. In a credit lending business, there's always the chance of that. We look to reduce it and minimise it by good risk management. There are obviously lessons which we have learned from watching these two situations, and those lessons we've put in, and that's what I would say.

The last thing, I know this is the final question, if I may close on this. The message I'd like to leave all of you with, first of all, thank you for joining us. Thank you for being on this journey with us.

Thank you for the excellent feedback you give us on this call and between calls. What you're seeing is yet another quarter of the demonstration of the fulfillment of our strategy.

Quarter after quarter after quarter, we've been improving this bank structurally in the ways we said we would, and delivering in the ways we said we would, across the bank. In the Investment Bank, an increase in RoTE now to double digits, it's 15% this quarter. In US [Consumer Bank], an increase in RoTE, when we started this plan it was 4%, we've just printed an 18% [plus] quarter. The [Group's] RoTE itself is at 13.5%, we are reiterating all our targets.

[We have] strong capitalisation, we're at a 14.1% CET ratio, which is a little above the high end of the range. That shows you prudent planning, prudent stewardship of capital, and with a view to what might come in the future, which some of the guys you have asked questions about. The growth in NII, the strength of our deposit base, the increase in UK corporate lending, fulfillment of our RWA promises in the UK, increased client engagement in the Investment Bank, and so on.

So, we've laid out our strategic plan, we've laid out the structural improvements, we look to deliver upon it quarter after quarter, and to report to you that way quarter after quarter.

That's our aim. Thank you very much for joining us.

Anna Cross

Thank you, everybody. We look forward to seeing you on the road, and of course, we'll see some of you at the analyst breakfast, but thank you for your questions.

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